

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

OCEAN NETWORK EXPRESS (NORTH AMERICA), INC. AND
OCEAN NETWORK EXPRESS, PTE., LTD. - POSSIBLE
VIOLATIONS OF 46 U.S.C. § 41102(C)

DOCKET NO. 21-17

Served: December 13, 2022

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

INITIAL DECISION APPROVING REMAND SETTLEMENT AGREEMENT¹

I. Background and History

On December 2, 2022, the Bureau of Enforcement, Investigations, and Compliance (“BEIC”) and Respondent Ocean Network Express, Pte., Ltd. (“ONE”) filed a joint memorandum in support of a proposed revised settlement (“Motion”), together with a copy of the proposed settlement agreement. Respondent Ocean Network Express (North America), Inc. was dismissed from this proceeding on May 4, 2022, and is no longer a party. The parties seek approval of the settlement agreement, a cease and desist order entered against ONE, and dismissal of this proceeding with prejudice. Motion at 12.

The Federal Maritime Commission (“Commission”) initiated this proceeding on December 30, 2021, by issuing an Order of Investigation and Hearing (“OIH”) to determine whether Respondents violated section 41102(c) of the Shipping Act by overbroadly defining and applying the definition of merchant in ONE’s bill of lading in such a manner as to unilaterally impose joint and several liability for freight and/or charges on a party with whom ONE was not in contractual privity and who had not consented to be bound by the terms of the bill of lading. OIH at 2. In addition, the Commission ordered the proceeding to be expedited. OIH at 7-8.

The proceeding was temporarily stayed while the Commission considered a petition seeking reconsideration and rescission, which was denied on January 28, 2022. A motion to dismiss was denied on February 23, 2022. The parties engaged in discovery, with an order granting a motion to individually identify respondents issued on March 28, 2022, and an order on motions to compel and to dismiss issued on May 4, 2022. Briefing deadlines were set but the parties requested multiple extensions while they negotiated the original settlement agreement. On June 28, 2022, the original confidential original settlement requested by the parties was approved. On July 15, 2022, the Commission issued a Notice of Determination to Review.

¹ This initial decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.227.

On October 27, 2022, the Commission issued an Order Reversing the Initial Decision and Remanding (“Remand Order”). The Remand Order stated that the joint motion of the parties did not address the Subpart W factors which govern the assessment of civil penalties and settlements in enforcement actions, which rendered the Commission “unable to definitively determine whether the settlement agreement conforms with the requirements in Subpart W” and that it did not appear that “the civil penalty and other terms proposed in the settlement agreement are sufficient to resolve the serious allegations in the case.” Remand Order at 5-6. In addition, the Commission stated that “enforcement action settlements are not to be kept confidential.” Remand Order at 6. “Because the Commission finds that the terms of the agreement violate the Commission’s Rules of Practice and Procedure and are objectionable from a policy perspective, it hereby reverses the I.D.’s approval of the agreement.” Remand Order at 6. The Commission required that the ALJ promptly issue a scheduling order and that an initial decision on the merits be issued within three months.

On October 28, 2022, a remand scheduling order was issued. On November 17, 2022, counsel for the parties met with the undersigned in a virtual conference to discuss the status of settlement discussions. On November 18, 2022, a joint status report was filed by the parties summarizing the previous day’s conference and anticipation that a settlement would be reached.

II. Legal Standard

Using language borrowed in part from the Administrative Procedure Act, Rule 75 of the Commission’s Rules of Practice and Procedure gives interested parties an opportunity, *inter alia*, to submit offers of settlement where “time, the nature of the proceeding, and the public interest permit.” 46 C.F.R. § 502.75(b); *see* 5 U.S.C. § 554(c). If dismissal is sought due to a settlement by the parties, “the settlement agreement must be submitted with the motion for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable.” 46 C.F.R. § 502.72(a)(3). “Unless the order states otherwise, a dismissal under this paragraph is without prejudice.” 46 C.F.R. § 502.72(a)(3).

The Commission has a long history of approving settlement agreements that meet the required criteria, including in enforcement proceedings.

The Commission’s decisions and regulations have long indicated a broad policy favoring settlement. In reviewing a proposed settlement, the Commission evaluates whether it would contravene any law or public policy, and whether it is “fair, reasonable, and adequate.” As the parties note, the Commission weighs enforcement policy in terms of deterrence and compliance, likely costs and delay, and “pragmatic litigative possibilities” regarding the proceeding’s potential outcomes.

Possible Unfiled Agreement Between Hyundai Merchant Marine Company, Ltd. and Mediterranean Shipping Co., S.A., Docket No. 97-07, 2000 FMC LEXIS 2 at *4 (FMC May 2, 2000) (citing *Old Ben Coal Co. v. Sea-Land Serv.*, 21 F.M.C. 506, 512-513; 18 S.R.R. 1085, 1091 (ALJ Nov. 29, 1978); *Far Eastern Shipping Co. – Possible Violations of Sections 16,*

Second Paragraph 18(b)(3) and 18(c), Shipping Act, 1916, 21 S.R.R. 743, 1014 (ALJ Mar. 25, 1982)).

The Commission has routinely held that negotiated settlement agreements should be approved unless the agreements present one of a few defects requiring disapproval. The Commission has consistently adhered to a policy of encouraging settlements and engaging in every presumption which favors a finding that they are fair, correct, and valid. Despite the general preference for approval of settlement agreements, the Commission does not merely rubber stamp any proffered settlement. Instead, the Commission typically reviews a settlement agreement to ensure that it does not contravene law or public policy. Such review typically includes evaluating factors to determine that the settlement agreement was not a product of fraud, duress, undue influence, or mistake. The Commission also reviews the terms of settlement agreements to ensure that the terms are fair, reasonable, and adequate. The review process frequently involves a balancing of the likelihood of success on the merits against the cost and complexity of proceeding to final judgment.

World Chance Logistics (Hong Kong), Ltd. and Yu, Chi Shing, a.k.a. Johnny Yu – Possible Violations of Section 10 of the Shipping Act of 1984, Docket No. 09-07, 2010 FMC LEXIS 27 at *5, 31 S.R.R. 1346, 1350 (FMC May 20, 2010) (internal citations omitted).

This is an enforcement proceeding and the Commission has instructed that the Subpart W factors be considered. Under Subpart W, Commission Rule 603(b), in “determining the amount of any penalties assessed,” the Commission is required to “take into account the nature, circumstances, extent and gravity of the violation committed and the policies for deterrence and future compliance with the Commission’s rules and regulations and the applicable statutes. The Commission shall also consider the respondent’s degree of culpability, history of prior offenses, ability to pay and such other matters as justice requires.” 46 C.F.R. § 502.603(b). These factors have since been codified in 46 U.S.C. § 41109 by the passage of the Ocean Shipping Reform Act of 2022, Pub. L. No. 117-146, 136 Stat. 1272. Remand Order at 6 n.3.

In addition, Commission Rule 603(a), governing the assessment of civil penalties in Commission-instituted proceedings, states that the “full text of any settlement must be included in the final order of the Commission.” 46 C.F.R. § 502.603(a); *see also* Remand Order at 6.

III. Settlement Agreement Analysis

A. Settlement Terms

The parties state that the “revised Settlement Agreement addresses the purpose the Commission articulated in its OIH and Order Reversing the Initial Decision and Remand; specifically, the rules in Subpart W, which govern, among other things, the assessment of civil penalties 46 C.F.R. §§ 502.601-502.605.” Motion at 2 (footnote omitted). In addition, the parties state:

The Parties agree to resolve their legal dispute in the Settlement Agreement and agree that settlement is in the interest of both parties, as it conserves litigative and administrative resources. Furthermore, the Settlement Agreement addresses the Commission's enforcement interests of deterrence and compliance, while providing clarity and benefits to the shipping public, such as, immediate relief to third parties performing vital supply chain activities. A summary of terms of the Settlement Agreement are as follows:

1. ONE will pay a civil penalty of \$131,332.00;
2. ONE will immediately limit the use of its Bill of Lading "Merchant" definition in the U.S. foreign trade to shippers, consignees, and persons with a beneficial interest in the cargo (46 C.F.R. § 515.2(b));
3. ONE will add an explanatory note to its U.S. tariff explaining its "Merchant" limitation;
4. ONE agrees to the issuance of a cease-and-desist order prohibiting ONE from collecting monies owed ONE under its bill of lading from non-Merchants or entities with whom ONE has no direct contractual relationship; and
5. ONE will immediately stop invoicing non-Merchants or entities with whom ONE has no direct contractual relationship.

The Parties note that, in part, the subject matter of the OIH and this settlement agreement is currently being addressed by the Commission in rulemaking and that the settlement agreement provides relief to the shipping public now, rather than when a final rule is issued.

Motion at 2-3.

Consistent with Commission Rule 603(a), the full text of the settlement agreement is attached to this order. 46 C.F.R. § 502.603(a). In addition, the settlement agreement should be posted on the docket on the Commission website.

B. Criteria

1. Rule 72 Factors

Commission Rule 72 requires consideration of "whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable." 46 C.F.R. § 502.72(a)(3).

The parties assert that the agreement is public and therefore it "will inform other carriers and the shipping public so they may take note of its terms and conform their conduct thereto." Motion at 6. The parties further contend that the settlement agreement "is free of fraud, duress, undue influence, mistake, or other defects which would otherwise result in its disapproval. The

settlement is the result of arms-length, good-faith negotiations conducted with the advice of counsel. Approval of the Settlement Agreement is proper inasmuch as it does not violate any law or policy.” Motion at 6.

Both parties are represented by counsel who have engaged in arm’s length negotiation and there is no indication of fraud, duress, undue influence, mistake, or other defects. The settlement promptly resolves an issue important to the shipping industry and avoids the potential costs and uncertain outcome inherent in litigation. Moreover, the agreement does not appear to violate any law or policy and is consistent with Commission requirements as outlined below.

2. Rule 603 Factors

Commission Rule 603(b) requires consideration of “the nature, circumstances, extent and gravity of the violation committed and the policies for deterrence and future compliance with the Commission’s rules and regulations and the applicable statutes. The Commission shall also consider the respondent’s degree of culpability, history of prior offenses, ability to pay and such other matters as justice requires.” 46 C.F.R. § 502.603(b). The parties have different positions regarding a number of these factors.

Regarding the nature, circumstances, extent and gravity of the violation, BEIC contends that these are aggravating factors, and the penalty amount “is based on the two bills of lading identified in the OIH and calculated using the maximum amount for a knowing and willful violation.” Motion at 7. BEIC further asserts that:

Beyond the dollar amount of the civil penalty, the true value of the Settlement Agreement lies in ONE’s agreeing to immediately alter its practices in the U.S.-foreign trades. The Settlement Agreement coupled with the issuance of a cease-and-desist order will deter future similar violative acts by ONE. Moreover, it will serve as notice to other VOCCs that a merchant clause inclusive of third parties who are not in contractual privity with the carrier, who have no beneficial interest in the cargo, and who have not consented to the carrier’s bill of lading terms and conditions, may run afoul of the Shipping Act.

Motion at 7.

ONE does not admit any violations and contends that “any violative act(s) found could number no more than the two bills of lading originally identified in the OIH. ONE also asserts that multiple mitigating factors exist that weigh in its favor. ONE believes the Settlement amount is significant because it exceeds the maximum allowed by law.” Motion at 6-7.

The OIH identified two bills of lading at issue and the settlement amount meets or exceeds the maximum amount for a knowing and willful violation. Therefore, the amount of the civil penalty is consistent with the number of violations alleged and the nature, circumstances, extent and gravity of the violations alleged. Moreover, there is significant benefit to the shipping public in having an expeditious resolution which clarifies the Shipping Act requirements and imposes a clear cease and desist order.

Regarding the degree of culpability, BEIC argues that “ONE knowingly and willfully established a practice of unreasonably holding third parties liable through its bill of lading (merchant clause) in violation of the Shipping Act.” Motion at 8. ONE asserts that it named Greatway as a defendant in the underlying lawsuit “in good faith and based on federal maritime law,” and that “even if it violated the Shipping Act, its violation was not knowing and willful.” Motion at 9. “ONE and BEIC agree that culpability is capped in this Settlement Agreement for two knowing and willful Shipping Act violations.” Motion at 9. It is difficult to determine the degree of culpability at this stage of the proceeding, however, the civil penalty is consistent with the maximum penalty for the two violations alleged, and the cease and desist order ensures that further violations do not occur. Therefore, the proposed settlement is reasonable with regard to the degree of culpability.

Regarding history of prior offenses and ability to pay, the parties agree that “ONE has no history of prior offenses and that ONE has the ability to pay the agreed upon civil penalty.” Motion at 9. These factors are consistent with the proposed penalty.

Regarding other factors as justice requires, the parties state:

The Settlement Agreement significantly benefits the shipping public by requiring ONE to change its activities promptly, not at some future undetermined date. Pursuant to the settlement, ONE agrees to immediately modify the interpretation of its Merchant clause with respect to the U.S.-foreign trades, limiting the term to shippers, consignees, and entities with beneficial interest in the cargo, and to explain the revised definition in its tariff. ONE also agrees to immediately cease and desist invoicing non-Merchants (as re-defined) or entities with whom ONE has no direct contractual relationship under its bill of lading and to formalization of that obligation in a cease and-and desist order. Thus, the Settlement Agreement fully resolves the behaviors raised in the OIH, addresses the concerns expressed by the Commission in Docket No. 20-16, and brings instant relief for the industry from such practices. The cease-and desist order ensures that such relief will persist until modified or superseded by subsequent Commission guidance, such as issuance of a final rule regarding the matters addressed in the settlement agreement.

Motion at 9-10. These factors significantly weigh in favor of approving the proposed settlement agreement.

3. Other Considerations

The parties raise two other considerations in reaching the settlement: the enforcement policy of deterrence and compliance and, litigative realities. Both are appropriate for consideration.

Regarding the enforcement policy of deterrence and compliance, the parties assert:

With respect to the policy of enforcement, BEIC stresses the importance of ensuring compliance with the Shipping Act of 1984. ONE supports the Commission’s objectives and has, in addition to payment of a civil penalty,

agreed to significantly alter its tariff terms, as well as its behavior thereunder, for all shipments within the jurisdiction of the Commission.

The relief agreed to by ONE provides assurances of deterrence and future compliance. The Settlement Agreement requires ONE to change how it defines Merchant in the U.S. trades and who it invoices and imposes liability under its bill of lading. ONE's commitment to these changes is reflected in its agreement to a cease-and-desist order. The agreed civil penalty adds further weight to the deterrent effect. ONE also recognizes that its failure to comply with the cease-and-desist order may result in much higher penalties being demanded by the Commission in any enforcement action resulting from such failure. Additionally, approval of the Settlement Agreement would put other ocean common carriers on notice and is likely to deter them from engaging in similar practices.

Motion at 10. These factors also significantly weigh in favor of approving the proposed settlement agreement.

Regarding litigative realities, the parties assert that the "litigative realities and cost of continued litigation weigh in favor of approving the Settlement Agreement" and that the "decision to settle reflects the consideration that, if the matter were not settled, both parties would be expected to vigorously defend their respective positions." Motion at 11. The parties outline the arguments that they would make. The parties conclude:

Acknowledging the Parties remain divergent on the merits of the case, they have carefully considered the costs, benefits, and risks of further litigation, and determined that settlement is in their mutual interests, as well as that of the shipping public. Both sides recognize the litigation reality that resolution of the proceeding by trial would be an expensive undertaking that would divert resources from each of the Parties. Moreover, it is likely that, even with the expedited schedule required by the Reversal and Remand Order, as implemented by the Presiding Officer's Revised Schedule issued on October 28, 2022, the likelihood of appeal to the Commission and the courts, the matter would take significant time to reach a final resolution. The settlement agreement by contrast, would resolve the matter without extended litigation bringing substantial valuable (and immediate) relief to the shipping public. Accordingly, consideration of the risks, costs, and uncertainties of continued litigation weighs in favor of approval of the Settlement Agreement.

Motion at 12. The prompt resolution of this proceeding by the parties benefits the parties as well as the shipping public and therefore is a reasonable balance of the relevant factors.

A review of the settlement agreement and the relevant factors indicates that it satisfies the criteria for approval. Therefore, the settlement agreement is reasonable and will be approved, including imposition of civil penalties and a cease and desist order.

IV. Order

Accordingly, upon consideration of the motion, settlement agreement, and the record, and good cause having been stated, it is hereby:

ORDERED that the motion to approve the settlement agreement between the Bureau of Enforcement, Investigations, and Compliance and Ocean Network Express, Pte., Ltd. be **GRANTED**. It is

FURTHER ORDERED that the request for a cease and desist order be **GRANTED**. ONE is hereby **ORDERED** to cease and desist (1) invoicing or making any other form of written or oral demand for monies owed under the Bill of Lading or tariff for freight and/or charges to any parties other than shippers, consignees, and persons with a beneficial interest in the cargo or with whom ONE has a direct contractual relationship; and (2) all efforts at collecting monies owed to ONE from any parties other than shippers, consignees, and persons with a beneficial interest in the cargo or with whom ONE has a direct contractual relationship. It is

FURTHER ORDERED that this proceeding be **DISMISSED WITH PREJUDICE**.


Erin M. Wirth

Chief Administrative Law Judge